

Academy Sports + Outdoors - Hypothetical Sponsor LBO

Private Equity / Investment Banking Portfolio Project | September 2026

\$67.81 Offer Price	6.4x Entry EV / EBITDA	2.86x 5-Year MOIC	23.4% 5-Year IRR
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Investment Thesis

Academy Sports + Outdoors is a credible hypothetical LBO candidate due to its manageable enterprise value, strong cash generation, relatively low pre-transaction leverage and identifiable operational upside. The base case assumes a sponsor acquires the company at a 25% premium, funds the transaction with 4.5x initial debt / EBITDA and exits after five years at 6.0x EBITDA.

Transaction & Returns Overview

Metric	Base Case	Metric	Base Case
Purchase Equity Value	\$4.18B	Sponsor Equity	\$1.63B
Initial Debt / EBITDA	4.5x	Exit Multiple	6.0x
2026E EBITDA	\$710M	2031E EBITDA	\$915M
Debt Paydown	\$2.22B	Exit Debt	\$972M
Sponsor Exit Equity	\$4.67B	5-Year IRR	23.4%

Why Academy Works as an LBO Candidate

- **Cash generation:** FY2025 adjusted EBITDA was approximately \$666M, providing a meaningful base for debt service and deleveraging.
- **Low existing leverage:** Academy reported approximately \$494M of long-term debt and \$298M of cash at 2Q26, creating capacity for acquisition financing.
- **Operational upside:** New-store growth, e-commerce expansion, merchandising initiatives and modest margin recovery provide identifiable EBITDA growth levers.
- **Financeable size:** The company's equity value before a control premium is within a range that could be relevant to a large or upper-middle-market sponsor / consortium.

Value Creation Bridge

Driver	LBO Role
EBITDA Growth	\$710M 2026E -> \$915M 2031E
Debt Paydown	~\$2.22B reduction through mandatory amortization + cash sweep
Multiple	6.0x base-case exit; returns do not require aggressive multiple expansion
Result	2.86x MOIC / 23.4% 5-year IRR

Key Risks

- **Consumer cyclical:** weaker discretionary spending could pressure comparable sales and EBITDA.
- **Tariffs / sourcing:** higher product costs could compress gross margin if pricing actions cannot fully offset inflation.
- **Leverage:** higher rates or weaker FCF would reduce debt paydown and sponsor returns.
- **Exit valuation:** lower market multiples at exit could materially reduce MOIC and IRR.

Investment Committee Takeaway

Base-case conclusion: The hypothetical LBO produces an attractive 23.4% IRR and 2.86x MOIC, with returns driven primarily by EBITDA growth and substantial deleveraging rather than multiple expansion. The central underwriting question is whether Academy can sustain mid-single-digit growth and modest margin improvement while supporting a 4.5x opening leverage profile.

Source / Disclaimer

Historical operating and balance-sheet information is based on Academy Sports + Outdoors investor materials and SEC filings. Transaction premium, financing structure, 2026E normalized EBITDA, operating forecasts and exit assumptions are illustrative. This is an educational / recruiting model and is not a prediction of an acquisition or investment recommendation.